# F3

**Office of the President**

**TO MEMBERS OF THE FINANCE AND CAPITAL STRATEGIES COMMITTEE:**

**ACTION ITEM**

***For Meeting of May 15, 2024***

**BERKELEY INNOVATION ZONE, BERKELEY CAMPUS: BUDGET AND EXTERNAL FINANCING FOR SITE PREPARATION; SCOPE; SITE PREPARATION WORK AND SOUTH BUILDING DESIGN FOLLOWING CERTIFICATION OF AN ENVIRONMENTAL IMPACT REPORT PURSUANT TO THE CALIFORNIA ENVIRONMENTAL QUALITY ACT; AND ACCEPTANCE OF GIFT OF REAL PROPERTY FOR THE SOUTH BUILDING**

## EXECUTIVE SUMMARY

The proposed Berkeley Innovation Zone project would redevelop a 1.86-acre Berkeley campus site in downtown Berkeley to create a public-facing node for life sciences, materials science, and climate research. The project would underscore UC Berkeley's leading role in these fields of research and innovation. The Berkeley Innovation Zone project would include new buildings – a South Building and North Building totaling approximately 486,000 gross square feet – with academic research and collaboration space, parking, and open space. The South Building project would be a donor development project and would provide wet laboratory and flexible scale-up space for campus faculty and researchers and campus-affiliated entrepreneurs and their collaborators to incubate startup companies that provide solutions for energy and the environment. The project site is currently occupied by University Hall, two Regents-owned commercial properties, and surface parking. The existing buildings and infrastructure would be demolished in a Site Preparation project that would be completed prior to construction of the two new buildings and open space. The campus will return to the Regents to request approval of the North Building project.

The Berkeley Innovation Zone will support diversity, equity, and inclusion by providing inclusive interaction space for a diverse set of researchers, innovators, and entrepreneurs working at the forefront of addressing critical challenges related to energy and the climate, and research related to life sciences. The Berkeley Innovation Zone project would meet the UC Sustainable Practices Policy targets, including being 100 percent electric. The project would address seismic, restoration and renewal through the demolition of University Hall (Seismic Performance Rating VI).

The Regents are being asked to: (1) approve a project budget of $29.02 million for the Site Preparation project to be funded by campus funds ($19.02 million) and external financing

supported by lender funds ($10 million) (2) approve external financing supported by lender funds not to exceed $10 million; (3) approve the scope for the Site Preparation and South Building projects; (4) certify the Environmental Impact Report for the Berkeley Innovation Zone project; (5) adopt the Mitigation Monitoring and Reporting Program for the Berkeley Innovation Zone project; (6) adopt the California Environmental Quality Act Findings and Statement of Overriding Considerations for the Berkeley Innovation Zone project; (7) approve the design of the Site Preparation and South Building projects; (8) approve acceptance of the gift of the South Building project; and (9) authorize the President of the University, or designee, in consultation with the Office of General Counsel, to execute all documents necessary in connection with the above.

## RECOMMENDATION

The President of the University recommends that the Finance and Capital Strategies Committee recommend to the Regents that:

A. The 2023-24 Budget for Capital Improvements and the Capital Improvement Program be amended to include:

Berkeley: Berkeley Innovation Zone – preliminary plans, working drawings, construction, and equipment – $29.02 million, to be funded from campus funds and external financing supported by lender funds.

B. The President be authorized to obtain external financing in an amount not to exceed $10 million plus additional related financing costs to finance the Berkeley Innovation Zone Site Preparation. The President shall require that:

(1) Interest only, based on the amount drawn, shall be paid on the outstanding balance during the construction period.

(2) As long as the debt is outstanding, the general revenues of the Berkeley campus shall be maintained in amounts sufficient to pay the debt service and to meet the related requirements of the authorized financing.

(3) The general credit of the Regents shall not be pledged.

C. The scope of the Berkeley Innovation Zone's Site Preparation and South Building projects be approved. The Site Preparation project shall include the demolition of existing buildings and features on the Berkeley Innovation Zone site. The South Building project shall include construction of an approximately 176,000-gross-square-foot building with laboratory, office, and collaboration space.

D. Following review and consideration of the environmental consequences of the Berkeley Innovation Zone, as required by the California Environmental Quality Act (CEQA), including any written information addressing this item received by the Office of the

Secretary and Chief of Staff to the Regents no less than 48 hours in advance of the beginning of the Regents meeting, testimony or written materials presented to the Regents during the scheduled public comment period, and the item presentation, the Regents:

(1) Certify the Environmental Impact Report for the Berkeley Innovation Zone.

(2) Adopt the Mitigation Monitoring and Reporting Program for the Berkeley Innovation Zone and make as a condition of approval the implementation of mitigation measures within the responsibility and jurisdiction of the Berkeley campus.

(3) Adopt the CEQA Findings and Statement of Overriding Considerations for the Berkeley Innovation Zone.

(4) Approve the design of the Berkeley Innovation Zone Site Preparation and South Building projects, Berkeley campus.

E. In accordance with Regents Bylaw 22.2(d) and Regents Policy 8103, Policy on Capital Project Matters, the acceptance of the gift of the South Building project pursuant to the terms of a gift agreement between the donor and the Berkeley campus be approved.

F. The President of the University, or designee, in consultation with the Office of the General Counsel, be authorized to execute all documents necessary in connection with the above and to take all further action necessary to effectuate the acceptance of the gift and implementation of the Berkeley Innovation Zone/South Building.

## BACKGROUND

UC Berkeley's academic mission is to push the boundaries of knowledge, challenge convention, and expand opportunity to create the leaders of tomorrow. This mission is advanced by making discovery the foundation of the Berkeley experience; empowering students with the skills and support needed to become pioneers of new knowledge and leaders in a broad range of fields; addressing society's greatest challenges through groundbreaking research; and embracing diverse, inclusive, and entrepreneurial academic excellence.

The Berkeley Innovation Zone supports the mission by providing new space for interdisciplinary research, discovery, and entrepreneurship with key project planning objectives:

- Providing life-science research and wet laboratory space to support UC Berkeley's academic mission, to expand its research enterprise, and to accelerate cutting-edge discovery and innovation in life sciences and climate research.
- Locating UC Berkeley's life sciences and climate research together in a manner that enables intellectual exchange, interdisciplinary discovery, interaction and collaboration between academic programs and disciplines, and encourages collaboration.

- Fostering a collaborative ecosystem that attracts top-tier researchers, innovators, and industry leaders, propelling the next generation of life sciences and climate technologies, fueling scientific progress, and creating a hub to support economic growth, positive societal impact, and the University's public service values.
- Providing academic and research facilities in the City Environs adjacent to the Campus Park that can benefit from Downtown Berkeley amenities and proximity to other nearby UC research buildings, while still being accessible to academic and research functions on the Campus Park. The site also maximizes access to multiple modes of transportation in support of the campus's sustainable transportation objectives.
- Providing a project that accelerates revitalization in Downtown Berkeley by bringing additional employees and public services, and by enhancing the look of Downtown through attractive new buildings and landscaping.
- Creating a new public-facing node for life sciences development that complements other life-science research hubs in the City of Berkeley and the East Bay by locating collaborative academic research space along University Avenue and Oxford Street, near other life science researchers at the Berkeley campus, and with multiple and convenient transport options to the other life science hubs throughout Berkeley and the East Bay.
- Addressing significant seismic, restoration and renewal, and other life safety code deficiencies in aging buildings by demolishing and replacing them with new state-of-the-art facilities that meet or exceed UC policy.

Philanthropy catalyzed the Berkeley Innovation Zone. The South Building will be developed by a generous donor and provide facilities to help campus faculty and researchers, as well as campus-affiliated entrepreneurs and their collaborators incubate startup companies that provide solutions for energy and the environment. The building will be designed around highly flexible wet laboratories and spaces allowing for scale-up capabilities to support startups rooted in chemistry, materials science, and rapid instrument prototyping, propelled by artificial intelligence and machine learning.

This item requests that the Regents approve design following action pursuant to the California Environmental Quality for the South Building and the acceptance of the gift by the donor to UC Berkeley for the South Building. This item also requests that the Regents approve the Berkeley Innovation Zone Site Preparation project. The campus would return to the Regents to request approval of the North Building project.

## PROJECT DESCRIPTION

The Berkeley Innovation Zone would be in Downtown Berkeley, immediately west of UC Berkeley's Campus Park on a Regents-owned parcel bounded by University Avenue to the north, Oxford Street to the east, Addison Street to the south and other private developments to the west (refer to Project Location Map, Attachment 3).

***North and South Buildings***

The Berkeley Innovation Zone would redevelop this block with new space for research and collaboration in two new buildings – the South Building and the North Building. The buildings would provide space for academic research and innovation in the life sciences and related fields, including materials science, advanced machine learning, AI, and other fields, and include space for offices and other collaborative meeting spaces. The buildings would house researchers, faculty, and students from across multiple disciplines relevant to the life and climate sciences. The South and North Buildings would be separated by a linear-shaped courtyard open space. Table 1 summarizes the two buildings' characteristics.

The South Building will provide an approximately 176,000-gross-square-foot (gsf) new laboratory building.

- The building will include wet and dry laboratory research space, laboratory support space, research and administrative offices, meeting rooms, collaboration areas, and conference space, and shared administrative support space.
- The building will provide incubator space for campus faculty and researchers, as well as campus-affiliated entrepreneurs and their collaborators, to cultivate startup companies that provide solutions for energy and the environment.
- The building will have five above-ground floors, a non-occupied mechanical space at the roof, and a below-grade basement.
- The ground floor will include active ground-floor uses along the Addison and Oxford Street frontages.

The campus is evaluating implementation options for the North Building and will return to the Regents later for approvals pursuant to Regents Policy 8103. The campus anticipates that the North Building would be an approximately 310,000-gsf laboratory building.

- The building would include wet and dry laboratory research and laboratory support space, research and administrative offices, meeting rooms, and conference space.
- The building would include space for UC Berkeley's Innovative Genomics Institute (IGI), as well as other organizations, such as government and non-governmental organizations, private companies, and research institutes with which UC Berkeley and/or IGI has an affiliation.
- The building would have up to 11 above-ground floors and include a non-occupied mechanical space at the roof, a below-grade basement, and may also include an approximately 154,400-gsf garage, with up to four above-ground levels, comprising up to 350 vehicle parking spaces, within the 11-floor building.
- The building would include approximately 5,000 gsf of ground-floor commercial space for public-serving uses along the University Avenue and/or Oxford Street frontages.

**Table 1: Project Characteristics (Approximate)**

| | |
|---|---|
| **South Building – Academic Research** | |
| Gross square feet | 176,000 |
| Building height (ft) | 120 |
| Number of floors | 6 |
| | |
| **North Building – Academic Research and Parking (Development Envelope)** | |
| Gross square feet (Academic Component) | 310,000 |
| Parking | up to 350 spaces (154,000 gsf) |
| Building height (ft) | 195 |
| Number of floors | 12 |
| | |
| **Project Total** | |
| Site Area | 1.86 acres (73,000 square feet) |
| Total GSF | 486,000 |
| Total floor area ratio | 8.8 |

***Berkeley Innovation Zone Site Preparation Project***

Prior to the development of the North and South Buildings, the campus would demolish buildings and features on the site (University Hall, 2136-2140 University Avenue, and 2154-2160 University Avenue) as part of the Berkeley Innovation Zone Site Preparation project. University Hall is currently vacant and has a Seismic Performance Rating of VI. Tenants of 2136-2140 and 2154-2160 University would relocate prior to demolition.

Through demolition, the project will eliminate over $22 million of building and infrastructure restoration and renewal needs identified via the Integrated Capital Asset Management Program (ICAMP). The project also demolishes approximately 175,000 gsf of space that are not compliant with seismic safety requirements.

***Funding Plan and Financial Feasibility***

Berkeley Innovation Zone Site Preparation Project: The budget for the Berkeley Innovation Zone Site Preparation project would be $29.02 million funded by campus funds ($19.02 million) and external financing ($10 million) per the terms of a loan agreement.

The estimated debt service for the $10 million external financing at a planning rate of four (4.0) percent is $400,000 per year interest only with a final payment $10.4 million over a seven-year term. Over a ten-year period, the campus is projected to have a minimum modified cash flow margin of seven (7.0) percent and debt service coverage of 1.6 times, as required by the University's Debt Policy. Days' cash on hand in the Short Term Investment Pool (STIP)/Total

Return Investment Pool (TRIP) is 112 days as of February 29, 2024, which also meets the requirements of the University's Debt Policy.

For additional information, refer to Sources and Uses (Attachment 1) and Summary of Financial Feasibility (Attachment 2).

South Building Project: Implementation of the South Building would be designed and constructed by a donor, per the terms of a separate gift agreement, and will be made a gift to the UC Berkeley.

***Project Schedule***

The Site Preparation project is anticipated to start in the summer of 2024 and would last approximately ten months. Construction of the South Building would begin afterwards and last approximately 36 months. Construction of the North Building would occur later, after the campus has identified an implementation strategy for its construction and obtained the required approvals pursuant to Regents Policy 8103.

## PROJECT DESIGN – SOUTH BUILDING

The Berkeley Innovation Zone project components would redevelop the project block in a manner that responds to the surrounding development context and optimizes site capacity at a key campus gateway for new laboratory and research space (refer to Attachment 4, Design Graphics). The project would be consistent with the general objectives of UC Berkeley's 2021 Physical Development Framework (PhDF), particularly those related to enhancing the campus's western gateway entrances and complementing the surrounding private development context. The South Building would be constructed on the southern portion of the Berkeley Innovation Zone block along Addison Street near Oxford Street after completion of the Site Preparation project.

The South Building would be approximately 100 feet above ground level at its southwest corner, and 92 feet above ground level on its east side, at Oxford Street. An approximately 20-foot-high non-occupied mechanical space would be located on the roof but would be set back from the façade and would not be visible from the street level. The building form and organization would be driven by the internal program and sustainability considerations. The primary entrance would be from Addison Street, near Oxford Street, where collaboration and prototyping spaces would be located. The southeast corner would feature a multi-story, semi-enclosed space featuring a central stairwell. On level two, this space would provide access to an exterior terrace. Floors three through five would feature a mix of flexible laboratory and office space. The building's east-west orientation optimizes natural light and solar exposure, provides opportunities for passive ventilation systems, and optimizes the sawtooth roof form for photovoltaic power generation. The building's service and loading access would occur at the west end of the building. The building's façade would be a mix of glass and brick (refer to Attachment 4, Design Graphics).

The South Building project would install streetscape features along its site perimeter, including sidewalks, street trees, bicycle racks, trash receptacles, and courtyard features related to the linear-shaped courtyard, approximately 40 feet wide and roughly 200 feet long, between the South Building and future North Building. Landscaping would include native and/or climate adaptive and drought-resistant plant materials.

***Long Range Development Plan***

The project is consistent with the 2021 LRDP. The site was identified as a future building area within UC Berkeley's City Environs land use area, which allows for academic and research functions as well as visitor serving functions (refer to Attachment 7). The project supports the 2021 LRDP's objectives for prioritizing sites adjacent to the Campus Park for functions that benefit from connectivity with the Campus Park; complementing and reinforcing surrounding land uses, including those described City of Berkeley Downtown Area Plan; and ensuring the highest and best use of campus land through demolition and redevelopment of seismically non-compliant space for critically necessary research and collaboration space that supports the academic strategic plan.

## REAL PROPERTY TRANSACTIONS

***Gift of Real Property – South Building***

The donor has committed to designing and constructing the South Building Project and subsequently making a gift of the South Building project to UC Berkeley. To effectuate the gift, the donor and the Berkeley campus would execute a short-term Construction License granting the donor the right to construct the building on Regents' property. The Construction License provides that (i) the donor would construct the South Building Project as agreed to and permitted by UC Berkeley, (ii) the donor would be responsible for the entire cost of the planning, design, and construction of the South Building project, and (iii) the donor would be responsible for following all Regental and campus standards, policies, and procedural requirements applicable to the South Building project. Further conditions of the gift agreement and a separate loan agreement between a lender and the University include that:

- the Berkeley campus is not committing to expend any of its own funds on the South Building or its embedded program.
- No funds generated from the South Building will be used to repay the loan made for the purposes of the demolition of University Hall, so as not to trigger Unrelated Business Income Tax (UBIT).
- The incubator program within the South Building will be self-sustaining and ultimately provide a cash surplus to be allocated as follows:
    - 70 percent to be used for South Building activities at the discretion of the South Building Project's Advisory Board
    - 20 percent for a campus-wide deferred maintenance fund
    - ten percent for the South Building Project's Fellows program

- After 20 years from launch, should the South Building project's program fail to produce results that are deemed successful in the estimation of the Chancellor, the Berkeley campus may repurpose the South Building at the Chancellor's discretion for other campus purposes. However, any change will be limited to other entrepreneurial endeavors in the computer, physical and/or life sciences. The South Building cannot be used to expand facilities strictly for academic and/or academic research purposes.

## CONSISTENCY WITH SELECT UC POLICIES AND PRACTICE

The project complies with the UC Policies for Seismic Safety, Sustainability and Small/Disabled Veteran Business Enterprises (see Attachment 6).

## CEQA COMPLIANCE

A summary of the California Environmental Quality Act (CEQA) process and the environmental impacts of the proposed project are provided in Attachment 8. Pursuant to CEQA, the University prepared an Environmental Impact Report (EIR) for the Berkeley Innovation Zone project (SCH #2023100861) (Attachment 9). The EIR is a project EIR that examines the environmental impacts of the specific project and is not tiered from a programmatic EIR, such as the campus's 2021 Long Range Development Plan. Findings and the Statement of Overriding Considerations have been prepared to support the University's determination regarding project impacts, mitigation measures, and CEQA alternatives (Attachment 10).

**Key to Acronyms**

| | |
|---|---|
| CEQA | California Environmental Quality Act |
| EIR | Environmental Impact Report |
| IGI | Innovative Genomics Institute |
| LRDP | Long Range Development Plan |
| MMRP | Mitigation Monitoring and Reporting Program |
| SPR | Seismic Performance Rating |

**ATTACHMENTS:**

| | |
|---|---|
| Attachment 1: | Project Sources and Uses |
| Attachment 2: | Summary of Financial Feasibility |
| Attachment 3: | Project Location Map |
| Attachment 4: | Project Site Plan and Design Graphics |
| Attachment 5: | UC Operational Carbon and Energy Assessment for New Construction (OCEAN) Tool |
| Attachment 6: | Statement of UC Policy Compliance |
| Attachment 7: | 2021 LRDP: https://berkeley.app.box.com/s/rbb4buhz5b3w7yz8gk7ot2n759fpqbrs |
| Attachment 8: | Environmental Impact Summary |

| | |
|---|---|
| Attachment 9: | Berkeley Innovation Zone Environmental Impact Report and Mitigation Monitoring Report Program:<br>Final EIR:<br>https://berkeley.app.box.com/s/91edhligtp7zpbujy9522rst8hr7l1kx<br>Final EIR Appendices:<br>https://berkeley.app.box.com/s/o1zpkelynen33sqzt527854e4jtspm1s<br>Draft EIR:<br>https://berkeley.app.box.com/s/necik4khweyhu288zbiis9jb8ckhamsc<br>Draft EIR Appendices:<br>https://berkeley.app.box.com/s/ezu5ihqbvautoopwrzrekum2m8415s1q |
| Attachment 10: | CEQA Findings and Statement of Overriding Considerations |

**ATTACHMENT 1**

## PROJECT SOURCES AND USES – BERKELEY INNOVATION ZONE SITE PREPARATION

**Project Sources (000s)**

| Source | Total | Percentage |
|---|---|---|
| External Financing | $10,000 | 34.5% |
| Campus Funds | $19,020 | 65.5% |
| **Total Sources** | **$29,020** | **100%** |

**Project Uses (000s)[5]**

| Uses | Total | Percentage |
|---|---|---|
| Site Clearance | 15,500 | 63.2 |
| Building | 1,795 | 7.3 |
| Exterior Utilities | - | - |
| Site Development | 30 | 0.1 |
| A/E Fees[1] | 400 | 1.6 |
| Campus Administration[2] | 1,695 | 6.9 |
| Surveys, Tests, Plans[3] | 210 | 0.9 |
| Special Items[4] | 1,150 | 4.7 |
| Contingency | 3,740 | 15.3 |
| **Total PWC** | **24,520** | **100.0%** |
| Group 2 & 3 Equipment | 3,000 | |
| **Total Project** | **27,520** | |
| Interest During Construction | 400 | |
| Capital Renewal Fee[6] | 1,100 | |
| **Grand Total** | **$29,020** | |

Notes:

1. A/E fees include executive architect basic services fee.
2. Includes project management, contract administration, and inspection.
3. Includes testing and special inspections
4. Includes pre-design, environmental consultants, legal fees, hazardous materials survey and specialty testing consultants, plan check, and agency reviews.
5. Due to rounding, the totals may not align with individual sub costs.
6. Capital Renewal Fee supports a campuswide program that addresses deficiencies in campus facilities, especially building systems that are at the end of their life cycle. The fee is applied to all capital projects at a rate of 4% for campus supported facilities and 2% for auxiliary enterprises.

**ATTACHMENT 2**

## SUMMARY OF FINANCIAL FEASIBILITY

| BERKELEY CAMPUS | |
|---|---|
| Project Name | **Berkeley Innovation Zone Site Preparation** |
| Project ID | 919665 |
| Total Estimated Project Cost | $29,020,000 |

| PROPOSED SOURCES OF FUNDING | |
|---|---|
| Campus Funds | $19,020,000 |
| External Financing | $10,000,000 |
| **Total** | **$29,020,000** |

**SECTION I. Financed Projects**

| FINANCING ASSUMPTIONS | |
|---|---|
| Total Financing | $10,000,000 |
| Anticipated Repayment Source | Campus Funds |
| Anticipated Fund Source | Campus Funds |
| Financial Feasibility Rate | 4.00% |
| First Year of Principal (e.g. FY 20XX) | 2031 |
| Term (e.g. 30 years) | 7 years |
| Final Maturity (e.g. FY 20XX) | 2031 |
| Estimated Average Annual Debt Service | $400,000 interest only<br>$10,400,000 final payment |

Below are the results of the financial feasibility analysis for the proposed project using the campus' Debt Affordability Model. The model includes projections of the campus' operations and planned financings.

| CAMPUS DEBT METRICS | | | |
|---|---|---|---|
| **Measure** | **Value** | **Period** | **Approval Threshold** |
| Modified Cash Flow Margin (Minimum) | 7.0% | 2025 | ≥ 0% |
| Debt Service Coverage (Minimum) | 1.6x | 2025 | ≥ 1.1x |
| Monthly Liquidity | 112 Days | 02/29/2024 | ≥ 90 Days |

**ATTACHMENT 6**

## STATEMENT OF CONSISTENCY WITH SELECT UC POLICIES AND PRACTICE

The project is consistent with selected UC Policies and Practice:

### *Sustainable Practices Policy*

This project will comply with the University of California Sustainable Practices Policy. The Sustainable Practices Policy establishes goals for green building, clean energy, transportation, climate protection, facilities operations, zero waste, procurement, food service, and water systems. A full range of sustainability practices for building design and operations is included in the budgeting, programming, and design effort for the project.

This project has been analyzed by the UC Operational Carbon and Energy Assessment for New Construction (OCEAN) Tool and results are provided as Attachment 5. The OCEAN Tool identifies high-level estimates of target site energy use, utility costs, and operational greenhouse gas emissions for the proposed project. Building performance metrics are being compiled within UC's capital projects database and will be utilized to compare and assess future projects.

### *Small Business Enterprises (SBEs) and Disabled Veteran Business Enterprises (DVBEs)*

The campus is committed to promoting and increasing participation of Small Business Enterprises (SBEs) and Disabled Veteran Business Enterprises (DVBEs) in all purchasing and contract business, subject to any applicable obligations under State and federal law, collective bargaining agreements, and University policies. The Campus regularly communicates with interested contractors and consultants to provide information about how to find opportunities to work at the campus and to encourage them to respond to the annual announcement soliciting interest to perform services. Providing qualified SBEs with the maximum opportunity to participate will be encouraged with the selected design professionals and contractors with the goal of meeting 25 percent participation.

### *Seismic Safety*

This project will comply with the University of California Seismic Safety Policy, including independent seismic peer review.